

HOW IT WORKS: PAYING FOR COLLEGE

Madina is getting ready to graduate from a high school in California and has been accepted to three colleges she is interested in: California State University, San Diego; the University of Oregon; and New York University. Go, Madina. FAFSA has determined that Madina's expected family contribution is \$10,000 a year, and her family, fortunately, has saved enough money to afford the contribution. With her EFC in hand, she begins to examine the financial award letters from each college. Madina plans to live on campus, so these prices include housing.

Table 3.2 demonstrates the total financial aid that Madina will receive from each of her three schools. Please keep in mind that these numbers are unique to Madina's situation; this does not mean that this is the total aid for all students who attend these schools.

Also, it is important to remember you will need to fill out your FAFSA each year and your financial aid package may change. Table 3.2, however, assumes these numbers will remain constant over four years.

Table 3.2. Madina's financial aid comparison by school

Annual financial aid	CSU San Diego	University of Oregon	NYU
Direct subsidized loan	\$3,500	\$3,500	\$3,500
Direct unsubsidized loan	\$2,000	\$2,000	\$2,000
Pell grant	\$0	\$0	\$0
School scholarships	\$10,000	\$15,000	\$15,000
Other scholarships	\$2,000	\$2,000	\$2,000
Federal work-study	\$1,500	\$1,500	\$1,500
Total annual financial aid	\$19,000	\$24,000	\$24,000